



First Semester 2026-27 Course
Handout Part II

Date: 3 August 2026

In addition to part I (General Handout for all courses appended to the Time table), this portion gives further specific details regarding the course.

Course No. : **ECON F355**
Course Title : **BUSINESS ANALYSIS AND VALUATION**
Instructor-In-Charge : **Dr. Aprajita Pandey**

1. Course Description:

This course focuses on the essential tools and frameworks for evaluating the value of companies through financial analysis. Students will explore key concepts such as internal growth, mergers and acquisitions, along with valuation methodologies like discounted cash flow and relative valuation. Designed for those with prior knowledge in finance and accounting, the course equips students with the skills to analyze financial statements, assess market conditions, and identify key performance drivers. Ideal for aspiring professionals in investment banking, corporate finance, and consulting, this course enhances analytical capabilities and strategic thinking in business valuation and decision-making.

2. Scope and Objective of the Course:

The Process of measuring and managing the value of companies is a central aspect of financial analysis. Globally, managers are in pursuit of adding value to their firms via two important means. One, by enhancing the firm's productive capacity through internal (or organic) growth, which has a simultaneous positive impact on its stock price. Second, through mergers and acquisitions (a decision involving factors external to the firm) that interlocks with corporation's key strengths, and yield benefits in the long run. Hence, asking, "What is something worth?" is a vital question to business decision making, and the principal objective behind this course is to provide the learners with the *conceptual basis*, *intuitive reasoning*, and *analytical framework* to answer this question.

The focus of this course is on valuing equity (or ownership) in a firm and estimating the value of the overall enterprise. The coverage relies on discounted cash flow, relative valuation, and contingent valuation approaches for extracting the value of a business. Since financial statements serve as the basis for all types of valuation methods, the course begins by providing brief framework on the principles governing the financial statements, and adjustments that are often required to capture the underlying business reality.

Students who are either currently pursuing or would like to embark on a career in investment banking, corporate finance, venture capital, entrepreneurship, or business consulting will find the course material to be most useful. The course also carries a broader appeal to individuals who are interested in enhancing their understanding of financial analysis, and in learning how businesses measure and create value for their investors.



Important: This is not a beginning level course. The course presumes that you have a prior exposure on a variety of introductory concepts in finance, accounting, and statistics. For beginners, it is therefore highly recommended that they go through the introductory material in finance and accounting concepts at the earliest. Feel free to contact the I/C ASAP in case you are facing difficulty in following the classroom discussions.

3. Expected Learning Outcome of the Course:

The course aims to provide students with a comprehensive understanding of financial analysis, advanced accounting practices, and valuation techniques. By the end of the program, learners will be able to effectively analyze financial statements, gaining insights into an organization's performance and financial health. A critical component of the curriculum focuses on valuation methods, where students will learn to assess the value of assets and investments using various approaches, such as discounted cash flow analysis and market comparables. This knowledge will empower them to evaluate investment opportunities critically and make informed decisions that can significantly impact an organization's financial strategy. Overall, these outcomes will prepare students for successful careers in finance and accounting, equipping them with both analytical and practical skills essential for navigating complex financial landscapes.

4. Textbooks and references: (Though no single textbook is sufficient for the course, the following two texts shall be referred to extensively in the course).

TB1. Aswath Damodaran's, "Investment Valuation Tools and Techniques," John Wiley, 3rd edition or Later

TB2. Palepu & Healy, "Business Analysis & Valuation - Using Financial Statements, Text & Cases," Cengage Learning Publisher, 3rd Edition or Later.

TB3. Titman, & Martin, "Valuation," The Art and Science of Corporate Investment Decisions, Third Edition. Pearson Publisher.

RB1. The Dark Side of Valuation: Valuing Young, Distressed and Complex Businesses, Second Edition, 2010, Pearson Education Inc.

RB2. Kaplan, R. S., & Norton, D. P. (2004). Measuring the strategic readiness of intangible assets. *Harvard business review*, 82(2), 52-63.

RB3. DePamphilis, D. (2009). *Mergers, acquisitions, and other restructuring activities: An integrated approach to process, tools, cases, and solutions*. Academic Press.

RB4. Abrams, J. B. (2010). *Quantitative business valuation: a mathematical approach for today's professionals*. John Wiley & Sons.

5. Method of Conduct of the Course:

The course will be conducted through a combination of interactive lectures, in-class discussions, case studies, and problem-solving sessions. Lectures will focus on both theoretical frameworks and empirical research in business valuation, with an emphasis on real-world applications. Students will engage in guided readings,



critical analysis of academic papers, and data-driven exercises to develop analytical and evaluative skills. Class participation is encouraged to foster dialogue and critical thinking.

6. Course Plan

Week No.	Modules	Lecture/Tutorial	Reference TB/RB	Learning outcomes
1	An overview of valuation	Course Introduction; Discussing the Outline and Evaluation Scheme	Class Notes	Orientation and expectations
		Overview of Valuation		Introduction to valuation framework
		Basis and Need for Valuation; Accounting vs Market Performance Intro to valuation framework	T1 Chapter 1	
2	Introduction to valuation	Asymmetric Info and Role of Financial Statements	T1 Chapter 2	Nature of Major Investment Decisions, Valuing Projects and Businesses, Approaches to valuation
		Steps in Business Valuation		
		Valuation Approaches: DCF, Relative Valuation		
3	Financial Statement Analysis	Basics of Financial Statements – Balance Sheet	T1 Chapter 3, Class Notes	Learn to Analyze and Interpret different financial statements
		Basics of Income Statement		
		Basics of Statement of Cash Flows		
4	Time Value of Money , Risk and Return	Time Value of Money – Introduction	Class Notes	Understanding the importance of Time value of Money. Understanding What is risk and return and how they are measured and other related questions
		Risk and Return – Concept and Measurement		
		Risk and Return – Variance, Std Dev, Beta		
5	Evaluating Business Strategy for Valuation Insights	Economics of a Firm	T2 Chapter 2 & Class Notes	Understanding the role of Economic and Industry Environment.
		Industry and Strategy Analysis		
		Porter's Five Forces, PESTLE		
6	Interpreting Financial ratios for Valuation	Examine firm's performance and financial condition given its strategy and goals Conduct ratio analysis Perform cash flow analysis Assess sustainable growth rate	T2. Chapter 5 & Class Notes	Understanding How to interpret economic performance using historical financial accounts? What do all those ratios mean?



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Week No.	Modules	Lecture/Tutorial	Reference TB/RB	Learning outcomes
7	Forecasting and Valuing Cash Flows	DCF Models – Dividend Discount Models	T1 Chapter 13,14 & Class Notes	Understanding discounted cash flow and DDM model to value firm And Equity
		Free Cash Flow to Equity (FCFE)		
		DDM Model Single-Stage and Multi-Stage Models		
8	Forecasting and Valuing Cash Flows –Practice Cases	Practice Case: Bharat Hotels (DCF)	Mini Case 1 (Class Readings)	Practice Case Study on Discounted cash flow model
		Practice Case: Delhi Child Care (DCF)	Mini Case 2 (Class Readings)	
9	Estimating a Firm's Cost of Capital	Estimate component costs of capital – equity, debt, preferred etc.	T1.Chapter 15 & Class Notes	Understanding the components of WACC and their computation
		Risk and return models Obtaining parameters for models Define beta and determinants Calculate WACC		
10	Estimating a Firm's Cost of Capital- Practice Exercise	Levered and Unlevered Beta, Beta Determinants, Class Exercise – Beta & WACC	T1 Chapter 15	Understanding the concept of Levered Unlevered Beta
11	Valuation using Multiples	Relative Valuation – Intro and Steps, Standardized Multiples Interpreting Multiples – Equity vs Value	T1 Chapter 17-20	Relative Valuation using market comparables
12	Valuation using Multiples	Case1: Framco Resources IPO Case 2: ConocoPhillips Acquisition	Class Readings	Practice Case Study on Relative Valuation
13	Startup Valuation	Valuing Start-ups and Early Stage Businesses	T1. Chapter 23 & Class Notes	Valuing Investments in startups and deal structuring
14	Q&A	Class Assignment Discussion Preparatory Session for Final Evaluation, Warp-Up	Provided Cases	Application of full course content, Q&A and doubts



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7. Evaluation Scheme:

Components	Weightage (%)	Max. Marks (Out of 300)	Duration (minutes)	Tentative Dates*	Nature of Component
Announced Quiz (2 of 3)	30%	90	TBA	TBA	Closed Book
Mid-Semester Test	30%	90	90	As per Time Table	Closed Book
Comprehensive Exam.	40%	120	180	As per Time Table	Partially Open Book

* Dates are tentative and subject to change as per the circumstances. Any change will be communicated well in advance.

8. Make-up Policy: Make-up for the Mid-Sem and Comprehensive examinations shall be granted only in genuine cases (such as hospitalization) after a thorough examination of the application. The conduct of make-up is to be decided by the instructor-in-charge only. Please note- No make-up shall be granted for the Quizzes; out of three quizzes, the best 2 will be considered for the final evaluation.

9. Chamber Consultation Hour: Thursday-04.00 PM

Students can approach the Instructor-in-charge at any time via email (aprajita.pandey@pilani.bits-pilani.ac.in). Their queries will be answered through email/chamber consultation as per the level of the query.

10. Class Participation is important.

The student's success in this class will be dependent upon their participation and the amount and quality of effort expended. Students are expected to have read basic class materials for every session and to be able to lead discussions and/or answer questions based on the readings. Students will be held responsible for the material covered in class. The instructor in charge reserves the right to adjust this syllabus. Any change will be notified at least one week in advance. But it is your responsibility to stay informed if you do not attend all the classes.

11. Notices:

For course-related announcements, please check your email/NALANDA regularly. All the information will also be communicated during the class. For course-related announcements, please check your email regularly.

12. Note

Evaluative components will be conducted during scheduled hours as specified. Changes, if any, will be communicated well in advance. Please quote your ID number and name before requesting anything related to the course. *Students must write correct ID numbers in all the evaluative components, failing which their answer sheets will not be evaluated.*

Instructor-in-charge
ECON F355